

Employing in Uruguay

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under Uruguayan labour law
- **Monthly payroll** — salary payments in UYU, itemised payslips
- **Tax withholding** — progressive IRPF withheld and remitted to the DGI
- **BPS & FONASA** — social security and national health insurance contribution stack
- **Leave and termination management** — aguinaldo, salario vacacional and severance guidance

Employment Conditions

Contracts & Probation

Uruguay applies its minimum wage uniformly nationwide with no regional variation. Wage bargaining runs through periodic tripartite Consejos de Salarios (Wage Councils) by sector.

Item	Detail	Legal Basis
Probation period	Typically up to 90 days by custom (no fixed statutory maximum for private sector generally)	Employer discretion / sector agreement
Wage Councils (Consejos de Salarios)	Tripartite sector-level bargaining rounds set minimum sector wages above the national floor	Ministry of Labour and Social Security
Standard hours	8 hrs/day, 44–48 hrs/week (varies by sector)	Labour law

Minimum Wage & BPS Contributions (2026)

Measure	Rate	Notes
National minimum wage (SMN)	~UYU 24,572/month	Applies uniformly nationwide, no regional variation; adjusted annually in January
Employer BPS contribution	~12.625% of nominal salary	Base employer pension/social security rate
Employee BPS contribution (pension)	15% of nominal salary	Jubilatorio (pension) contribution
FONASA (health, employee)	3%–8% of nominal salary	Rate depends on income level and family composition (spouse/children covered)
Fondo de Reconversión Laboral (FRL)	0.125% of salary, shared by employer and employee	Funds labour retraining programs

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	Minimum 20 working days/year	Employer	After 1 year of continuous service
Salario Vacacional (vacation bonus)	100% of daily salary during vacation (i.e. a doubled payment), minimum 5.5% of annual salary	Employer	A genuine additional payment on top of ordinary pay during leave — distinct from the leave itself
Aguinaldo (Sueldo Anual Complementario)	1/12 of annual earnings, paid in 2 installments (June, December)	Employer	Fully taxable; employer withholds an additional ~6% IRPF advance monthly for salaries above 10 BPC/month to smooth the June aguinaldo tax bill

★ HERO TIP

Uruguay's Salario Vacacional is easy to miss for foreign employers used to standard paid leave — it's a genuine additional cash payment (minimum 5.5% of annual salary) on top of ordinary pay during the vacation period, not simply continued salary. Combined with the twice-yearly Aguinaldo, total statutory extras add meaningfully to base salary cost across the year.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Employer BPS contribution (12.625%)	\$378.75	12.63%
Aguinaldo accrual (1/12)	\$250.00	8.33%
Salario vacacional accrual (5.5%/12 ≈ 0.46%)	\$13.75	0.46%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%

Estimated total monthly cost	~\$4,242.50	~141.4%
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HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. BSE (State Insurance Bank) workers' compensation insurance varies by industry and is excluded from this example. Employee deductions (withheld separately) include BPS pension (15%), FONASA health (3%-8%) and progressive IRPF (0%-36%, exempt below ~7 BPC/month).

Termination & Separation

Uruguay has no general notice period requirement for ordinary dismissal without cause, but severance (despido común) is calculated as 1 month's salary per year of service, capped at 6 months' salary — payable regardless of the reason for dismissal (unless for serious misconduct, which removes the entitlement).

Public Holidays 2026

Date	Holiday	Type
1 January	New Year's Day	National
6 January	Epiphany (Día de los Niños)	National
~February	Carnival (Monday–Tuesday)	National
2–3 April	Semana de Turismo (Holy Thursday/Good Friday)	National
19 April	Landing of the 33 Orientales	National
1 May	Labour Day	National
18 May	Battle of Las Piedras	National
18 July	Constitution Day	National
25 August	Independence Day	National
12 October	Día de la Diversidad Cultural	National
2 November	All Souls' Day	National
25 December	Christmas Day	National

Ready to hire in Uruguay?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Uruguay employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).